REPORTABLE (111)

EX TEMPORE

ZIMBABWE REVENUE AND ALLIED WORKERS UNION
v
(1) ZIMBABWE REVENUE AUTHORITY (2) THE MINISTER OF FINANCE, ECONOMIC DEVELOPMENT & INVESTMENT PROMOTION N.O (3) HONOURABLE ARBITRATOR ARTHUR MARARA N.O (4) HONOURABLE ARBITRATOR GEORGE MAKINS N.O

SUPREME COURT OF ZIMBABWE
MAVANGIRA JA, MATHONSI JA & CHATUKUTA JA
HARARE: 28 OCTOBER 2025

B. Magogo, for the appellant

S. Bhebhe, for the first respondent

L.T. Muradzikwa, for the second respondent

No appearance for the third and fourth respondents

MATHONSI JA:

This is an appeal against the judgment of the High Court (the court *a quo*) handed down on 6 June 2025 setting aside parts of an arbitral award in favour of the appellant on the ground that it was contrary to public policy.

The court *a quo* found that the arbitrators could not at all issue an award that exceeds the budgetary limits of the first respondent. In its view, such an award cannot be implemented for the reason that the first respondent has no available funds to meet the expenditure. It found further that when dealing with a public entity, the arbitrators ought to take into account the budgetary limitations because the public entity cannot expend outside the approved budget as, doing so, would be acting outside the law. It concluded therefore that an

award that compels the first respondent to pay more than its legislatively approved budget is contrary to the public policy of Zimbabwe.

FACTUAL BACKGROUND

The appellant is a trade union registered in terms of the Labour Act [*Chapter 28:01*] to represent the interests of its members employed in the Revenue industry. The first respondent is a statutory body established in terms of the Revenue Authority Act [*Chapter 23:11*] while the second respondent is the responsible Minister under whom the first respondent falls.

The dispute between the parties arose from collective bargaining wage negotiations for the period between July 2023 and December 2023 which ended in a deadlock thereby necessitating the referral of the dispute to voluntary arbitration. The third and fourth respondents were assigned the responsibility to arbitrate the dispute.

Before the arbitrators, the appellant's case, as claimant, was that the prevailing economic environment, characterized by high inflation, exchange rate instability and dollarization, necessitated substantial adjustments. It submitted that, at the material time, an employee in the NEC grade 16 earned ZWL 244 622. 00 which was equivalent to US$ 42. 94 at the official rate. It proposed, as a fair wage, US$ 75.00 per month payable at the then interbank exchange rate.

The appellant claimed the following:

1. Nightshift allowance adjusted to US$ 2.50 per hour payable in USD.
2. Hardship allowance revised to US$ 150.00 per month payable in ZWL at the official exchange rate.
3. Covid Allowance converted to an extra room, raising the allocation from three to four rooms.

4. Housing and transport allowances to be paid in USD.
5. Payment of a 13th cheque in USD, as a recognized employee right.

In resisting the claim, the first respondent contended that, as a public entity, its capacity to pay was constrained by statutory provisions limiting its expenditure to approved budgets. It asserted that salaries and other remunerations formed part of its expenditure, which could not exceed the budget approved by the Ministry of Finance and Parliament of Zimbabwe. In its view, an award exceeding the said limits, would violate the Public Finance Management Act [*Chapter 22:19*], the Public Entities Corporate Governance Act [*Chapter 10:31*] and the Revenue Authority Act. The first respondent contested the payment of a 13th cheque in USD stating that it was outside the confines of the law.

The arbitral tribunal was not impressed by the second respondent's decision not to fully participate in the proceedings electing instead to submit an affidavit in support of the first respondent's submissions. It held that it was not bound by the statutory framework governing the first respondent. It concluded that neither the Revenue Authority Act nor the Public Finance Management Act restrict collective bargaining under the Labour Act or subjects it to ministerial approval as, in its view, the first respondent's board had a discretion to determine employees' remuneration.

In the end, in a lengthy award, the arbitral tribunal awarded a 300% basic salary increase with effect from 1 July 2023, maintained various allowances and ordered the payment of a non-discretionary 13th cheque.

THE APPLICATION

The first and second respondents were irked by the award. They made an application to the court *a quo* in terms of Article 34 (2) (b) (ii) of the First Schedule to the

Arbitration Act [*Chapter 7:15*]. The basis of the first and second respondents' challenge was that the arbitral award was contrary to the public policy of Zimbabwe. They posited that the 300% increase in basic salary would have a catastrophic impact on the national fiscus and necessitate payments which are both unlawful in nature and far beyond the financial capacity of the Ministry.

The first and second respondents maintained that the arbitral award issued in 2024 in respect of unapproved 2023 expenditure far exceeded its budgetary allocation for that year, rendering the award contrary to public policy. According to the first and second respondents, any retrospective adjustment to the 2023 salaries would, in turn, compel a corresponding adjustment to the 2024 salary scales, as these were derived from the 2023 levels. This would trigger further unbudgeted expenditure from the Consolidated Revenue Fund.

Regarding the non-discretionary 13th cheque, they contended that the employees were already entitled to performance-based bonuses. As such, so they contended, the 13th cheque would be a duplication of benefits apart from its unlawfulness.

The appellant opposed the application. In doing so, it raised a preliminary objection to the effect that the second respondent lacked *locus standi* to challenge the arbitral award, he not having participated in the arbitration proceedings. The appellant argued that, by doing so, the second respondent waived his right to contest the outcome. The preliminary objection was shot down by the first and second respondents on the basis that s 74 (7) of the Labour Act reposed upon the Minister, *locus standi* in all collective bargaining processes involving statutory bodies such as the first respondent. In their view, the Minister's failure to file submissions at arbitration was of no moment, and certainly did not divest him of his standing as he has a direct and substantial interest in the matter being directly affected by the arbitral award.

On the merits, the appellant strongly defended the arbitral award as in its view, it provided a comprehensive and well-reasoned justification for what was awarded. It relied, *inter alia*, on s 65 (5) (a) of the Constitution which confers the right to engage in collective bargaining as a fundamental human right enhanced by s 74 (2) of the Labour Act. It submitted that the first and second respondents were estopped from challenging the award of a 13th cheque they having failed to oppose it before the arbitral tribunal.

The court *a quo* brushed aside the preliminary objection finding that, by operation of law under s 74 (7) of the Labour Act, the Minister is part of the collective bargaining process irrespective of whether he files papers or makes oral submissions or not. It took the view that his participation arose from a statutory mandate, not voluntary involvement, and cannot be waived. It dismissed the objection,

On the merits, the court *a quo* held that the 300 % basic salary increase for July to December 2023 and the non-discretionary bonus would raise the first respondent's expenditure by 2.7% above the approved 2023 budget. Further, it found that the first respondent never conceded to the non-discretionary bonus payment awarded by the tribunal and dismissed the argument on estoppel.

The court *a quo* found that the first respondent cannot lawfully incur expenses outside its approved budget framework without authorization. As it was common cause that the 2023 budget and supplementary budget covering remuneration had already been approved in terms of s 47 of the Public Finance Management Act and s 26 of the Revenue Authority Act and that the 2023 budget cycle had already been closed, the tribunal could not issue an award exceeding the first respondent's budgetary limits.

The court *a quo* concluded at para 49:

> "My view is that, for whatsoever reason the tribunal could not at law issue an award that exceeds the budgetary limits of the ZIMRA. Such an award cannot be implemented for the simple reason that ZIMRA has no available funds to meet it. The tribunal, in dealing with a public entity, must take note of the budgetary limitation, because it may end up issuing, like *in casu* an award that is outside the law. ZIMRA is a public entity and cannot expend outside the approved budget. In other words, as a state-owned entity, it cannot expend outside the law. Its expenditure must be in terms of the requirements of the law. I take the view that an award that compels ZIMRA to pay more that (*sic*) its legislatively approved budget is contrary to the public policy."

Having said that, the court *a quo* granted the application effectively setting aside paras 1 and 6 of the arbitral award, the parts which awarded a 300% basic salary increase from July 2023 and awarded a non-discretionary indefinite bonus to the employees.

THE APPEAL

The appellant was not happy with the judgment of the court *a quo*, it noted an appeal to this Court on 6 grounds of appeal. In essence however, what has to be decided in this appeal is whether the non-participation of the second respondent in the collective bargaining negotiations constituted acquiescence and whether the arbitral award was contrary to public policy.

Mr *Magogo* for the appellant, submitted that, to the extent that the second respondent declined to participate, after being prompted to, he could not challenge the arbitral award or raise issues that ought to have been presented before the arbitral tribunal. The Court desired to know from counsel whether Article 34 of the Model Law precludes any interested party from seeking recourse by way of a review of the award, or whether there could be default judgment in arbitration proceedings in view of Article 25 of the Model Law.

While counsel was non-committal, he maintained the view that Article 34 provides only recourse to participants in the arbitration proceedings.

Mr *Magogo*, submitted further that the court *a quo* failed to consider whether the arbitral award complied with fiscal statutes and the Constitution of Zimbabwe. In his view, if it is accepted that the first respondent is bound by budgetary constraints, no genuine collective bargaining negotiations can occur and this would infringe upon the constitutional right to collective bargaining protected by s 65 of the Constitution. Upon being asked by the Court if there were no sufficient provisions in the Labour Act providing for collective bargaining without deference to constitutional provisions, counsel relented. He submitted that he was referring to constitutional provisions only to trace the source of the right to collective bargaining.

Per contra, Mr *Bhebhe* who appeared for the first respondent, submitted that the appellant never disputed the existence of budgetary constraints, which limited the arbitral tribunal's authority. He asserted that the award effectively disregarded the national budgeting process and that once it was accepted that the first respondent, as a public entity, was bound by fiscal limits, the matter should end there. Mr *Bhebhe* contended further that the first respondent lacked the means to pay the imposed increment and the 2023 fiscal year having been closed, a supplementary budget suggested by counsel for the appellant as a solution, could not be resorted to. In counsel's view, the award was demonstrably contrary to public policy and was unenforceable.

Mr *Muradzikwa* for the second respondent, associated himself with submissions made on behalf of the first respondent. He added that, to the extent that the preliminary objection to the second respondent's *locus standi* was concerned, arbitration proceedings do not recognize default judgments. Accordingly, so he argued, the second respondent's limited participation in arbitration was immaterial. He submitted that, in any

event, the second respondent's participation was effected through the filing of a supporting affidavit to the first respondent's opposition.

DETERMINATION OF THE APPEAL

The preliminary objection by the appellant on the second respondent's participation is a red herring. To begin with, s 74 (7) of the Labour Act provides:

> "Where a collective bargaining agreement being negotiated involves an employer which is a statutory corporation, statutory body or an entity wholly or predominantly controlled by the State, the Minister responsible for that body, corporation or entity shall be deemed to be a party on an equal footing with such employer and accordingly is a party to the negotiation of such collective bargaining agreement."

It is a basic principle of statutory interpretation that words must be given their ordinary, plain and commonly understood meaning unless such an interpretation would lead to an absurdity or contradict the legislative intendment. See *Zesa Holdings (Pvt) Ltd* v *Matunja* SC 73/22.

What the provision means is that the Minister's status as a party arises *ex lege* and not by active participation. Therefore the Minister's silence or inaction cannot equate to acquiescence or consent. If the section is given its ordinary literal meaning, it becomes clear that the Minister's involvement is not discretionary or optional but is explicitly imposed by law. Whether or not the Minister physically attends or actively engages in the collective bargaining process is of no moment.

We know of course that the Minister participated in the proceedings. The record reflects that at the collective bargaining meetings of 11 and 14 December 2023, a representative of the Minister was in attendance and did point out that the Minister associated himself with submissions made on behalf of the employer. In the Court's view that sufficed.

That is however not all. In terms of Article 25 of the Model Law:

"Unless otherwise agreed by the parties, if, without showing sufficient cause -

(a) The claimant fails to communicate his statement of claim in accordance with article 23 (1), the arbitral tribunal shall terminate the proceedings;
(b) The respondent fails to communicate his statement of defence in accordance with article 23 (1), the arbitral tribunal shall continue the proceedings without treating such failure in itself as an admission of the claimant's allegations.
(c) …
(d) …" (The underlining is mine)

The foregoing means that there is no scope in arbitration proceedings, for the arbitral tribunal to grant default judgment. It has to conduct the arbitration in full on the evidence placed before it. *A fortiori*, the Minister's failure to file submissions or actively engage in the proceedings did not translate to an admission of the appellant's claim. It did not take away his right to challenge the resultant award in the court *a quo* in terms of Article 34. The first issue is resolved in favour of the first and second respondents.

Turning now to the issue of whether the arbitral award was contrary to public policy the point should be made that there is no magic in the constitutional arguments raised by the appellant *viz a viz* s 65 of the Constitution. Section 65 (1) merely gives every person a right to fair labour practices and standards and to be paid a fair and reasonable wage, while s 65 (5) gives a right to engage in collective bargaining.

These provisions are subsumed in s 75 of the Labour Act which regulates the negotiations of a collective bargaining agreement. By the doctrines of subsidiarity and avoidance, there is no need to resort to constitutional provisions when the relevant Act provides for sufficient protection.

Having said that what should be underscored is that the first respondent is a statutory body which derives its powers, duties and operational framework exclusively from statute. Its authority is defined and circumscribed by the legislation that created it. As a

public entity, the first respondent's financial operations are firmly anchored in the law, in particular the Revenue Authority Act as read with the Public Finance Management Act and the Appropriation Act passed annually by Parliament.

These instruments collectively ensure that the first respondent is subject to governmental oversight and parliamentary control. Section 26 of the Revenue Authority Act regulates its budgetary processes. It follows that its wage bill cannot be negotiated or implemented in isolation from the government's fiscal and budgetary constraints.

In light of the foregoing, it is the view of the Court that the court *a quo* cannot be faulted for coming to the conclusion that any arbitral award which requires the first respondent, as a statutory entity, to pay wages outside the limitations fixed by statute, is contrary to the public policy of the country. This is so because public entities should act within the confines of the law and their approved budgets.

The Court does not agree with *Magogo* for the appellant, that even where an increment has not been budgeted for, it should still be awarded and a supplementary budget sought thereafter. The court *a quo* found that the budget cycle for the relevant period in 2023 had long been closed at the time the matter was decided. This means that it was no longer possible to even seek Parliamentary approval of a supplementary budget.

The appeal has no merit and ought to fail. There is no reason why costs should not follow that result as usual.

In the result, it be and is hereby ordered that:

"The appeal is dismissed with costs."

MAVANGIRA JA : I agree

CHATUKUTA JA : I agree

Mafongoya & Matapura Law Practice, appellant's legal practitioners.

Kantor & Immerman, 1st respondent's legal practitioners.

Civil Division of the Attorney General's Office, 2nd respondent's legal practitioners.